

OTC MARKETS GROUP INC.

A Delaware Corporation

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NAICS: 523210
SIC Code: 6289

Issuer's Quarterly Report

For the quarterly period ended September 30, 2021

ISSUER'S EQUITY SECURITIES

COMMON STOCK

Class A Common Stock
\$0.01 Par Value Per Share
14,000,000 Shares Authorized
11,778,615 Shares Outstanding as of October 31, 2021
OTCQX: OTCM

OTC Markets Group Inc. is responsible for the content of this Quarterly Report. The securities described in this document are not registered with, and the information contained in this report has not been filed with, or approved by, the U.S. Securities and Exchange Commission.

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QUARTERLY REPORT

Cautionary Note Regarding Forward-Looking Statements

Information set forth in this Quarterly Report (the “Quarterly Report”) contains forward-looking statements, which involve a number of risks and uncertainties that could cause our actual results to differ materially from those reflected in the forward-looking statements. Forward-looking statements can be identified by use of the words “expect,” “project,” “may,” “might,” “potential,” and similar terms. OTC Markets Group Inc. (“OTC Markets Group,” “we” or the “Company”) cautions readers that any forward-looking information is not a guarantee of future performance and that actual results could differ materially from those contained in the forward-looking information. Forward-looking statements involve a number of risks, uncertainties or other factors beyond OTC Markets Group’s control. These factors include, but are not limited to, our ability to implement our strategic initiatives, economic, political and market conditions and price fluctuations, government and industry regulation, U.S. and global competition, the impact of the COVID-19 pandemic, including changes to trading behavior broadly in the market, and the risk factors discussed under the heading “Risk Factors” in our Annual Report for the year ended December 31, 2020. We undertake no obligation to revise or publicly release the results of any revision to these forward-looking statements. Given these risks and uncertainties, readers are cautioned not to place undue reliance on such forward-looking statements. We undertake no obligation to update any forward-looking statement, whether as a result of new information, future events or otherwise.

Item 1. The exact name of the issuer and the address of its principal executive offices

The name of the issuer is OTC Markets Group Inc.

Company description

OTC Markets Group Inc. (OTCQX: OTCM) operates the OTCQX® Best Market, the OTCQB® Venture Market and the Pink® Open Market for over 11,000 U.S. and global securities. Through our regulated OTC Link® Alternative Trading Systems (“ATs”), the Company connects a diverse network of broker-dealers that provide liquidity and execution services. We enable investors to easily trade through the broker of their choice and empower companies to improve the quality of information available for their investors.

OTC Link ATS, OTC Link ECN and OTC Link NQB are each a Securities and Exchange Commission (“SEC”) regulated ATS, operated by the Company’s wholly owned subsidiary OTC Link LLC (“OTC Link”), a Financial Industry Regulatory Authority, Inc. (“FINRA”) and SEC registered broker-dealer.

The address of the issuer is: **300 Vesey Street, 12th Floor
New York, NY 10282**

The telephone and facsimile are: **Telephone: (212) 896-4400
Facsimile: (212) 868-3848**

The issuer's website:

OTC Markets Group's corporate website, www.otcmarkets.com, contains general information about us and our products and services. We also maintain www.otciq.com, www.otcdealer.com, www.garavan.com, www.virtualinvestorconferences.com, www.lifesciencesinvestorforum.com and www.lifescienceinvestorforum.com. The information contained on such websites shall not be deemed incorporated by reference herein.

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Item 2. Shares outstanding

The Company is authorized to issue 14,000,000 shares of Class A Common Stock of \$0.01 par value.

None of OTC Markets Group's common stock has been registered under the Securities Act of 1933, as amended (the "Securities Act"), or qualified under any state securities laws, and we have no current plans to register or qualify any of our securities. Certain shares of our common stock are currently eligible for resale in the public market pursuant to the exemption from registration offered by Rule 144 under the Securities Act ("Rule 144"). The remaining outstanding shares of our common stock are "restricted securities" within the meaning of Rule 144 and may be eligible for resale in the future.

The following table shows Class A Common Stock share ownership as of September 30, 2021:

	September 30, 2021
(i) Number of shares authorized	14,000,000
(ii) Number of shares outstanding	11,775,468
(iii) Number of shares freely tradable (public float) ⁽¹⁾⁽²⁾	7,365,795
(iv) Total number of holders of record	197

(1) The number of shares freely tradable may include shares held by stockholders owning 10% or more of our Class A Common Stock. These stockholders may be considered "affiliates" within the meaning of Rule 144, and their shares may be "control shares" subject to the volume and manner of sale restrictions under Rule 144.

(2) Our officers and directors hold approximately 4.3 million shares of our Class A Common Stock, which may be "control shares" subject to the volume and manner of sale restrictions under Rule 144. These shares are excluded from the number of shares freely tradable.

As of September 30, 2021, there are 1,415 non-objecting beneficial stockholders owning at least 100 shares of the Company's Class A Common Stock.

Our Class A Common Stock trades on the OTCQX market under the symbol OTCM (CUSIP Number: 67106F108).

Dividends

The declaration of dividends by OTC Markets Group is subject to the discretion of our Board of Directors. Our Board of Directors will consider such matters as general business conditions, our financial results, capital requirements, contractual, legal and regulatory restrictions on the payment of dividends and such other factors as our Board of Directors may deem relevant.

During the nine months ended September 30, 2021, our Board of Directors authorized and approved the following cash dividends:

Declaration Date	Dividend Per Common Share	Record Date	Total Amount (in thousands)	Payment Date
March 12, 2021	\$ 0.15	March 23, 2021	\$ 1,765	March 31, 2021
May 3, 2021	0.15	June 11, 2021	1,766	June 24, 2021
August 2, 2021	0.18	September 08, 2021	2,120	September 22, 2021

On November 5, 2021, the Board of Directors authorized and approved a special cash dividend of \$1.50 per share of Class A Common Stock and a quarterly cash dividend of \$0.18 per share of Class A Common Stock. The special dividend is payable on December 9, 2021 to stockholders of record on November 24, 2021. The ex-dividend date is November 23, 2021. The quarterly dividend is payable on December 23, 2021 to our stockholders of record on December 9, 2021. The ex-dividend date is December 8, 2021.

Stock Repurchase Program

On March 12, 2021, the Board of Directors refreshed the Company's stock repurchase program, giving the Company authorization to repurchase up to 300,000 shares of the Company's Class A Common Stock. The Company is authorized to purchase shares from time to time on the open market and through block trades, in accordance with the safe harbor provision of Rule 10b-18 under the Securities Exchange Act of 1934 (the "Exchange Act" or "SEA").

The following table shows purchases made by the Company of the Company's Class A Common Stock during the nine months ended September 30, 2021.

Date	Number of Shares Purchased	Average Price Paid Per Share	Number of Shares Purchased as Part of Announced Repurchase Plan	Number of Shares Remaining To Be Purchased Under Announced Plan
Feb 2021	44,691	\$34.00	44,691	255,309
Mar 2021	42	\$41.00	42	255,267
Mar 2021				300,000

Item 3. Unaudited interim condensed consolidated financial statements

Copies of the unaudited interim condensed consolidated financial statements of OTC Markets Group for the three and nine months ended September 30, 2021 and September 30, 2020, including the unaudited interim Condensed Consolidated Balance Sheets, Condensed Consolidated Statements of Income, Condensed Consolidated Statements of Cash Flows, Condensed Consolidated Statements of Stockholders' Equity and Notes to the condensed consolidated financial statements, are attached hereto as Exhibit 3.1 and are hereby incorporated by reference into this Quarterly Report.

The unaudited interim condensed consolidated financial statements have been prepared in accordance with generally accepted accounting principles in the United States ("U.S. GAAP"). The accompanying unaudited interim condensed consolidated financial statements reflect all adjustments which are, in the opinion of management, necessary for a fair statement of the results for the interim periods presented. These adjustments are of a normal recurring nature. As permitted under U.S. GAAP, certain footnotes or other financial information are condensed or omitted in the unaudited interim condensed consolidated financial statements. These unaudited interim condensed consolidated financial statements should be read in conjunction with the consolidated financial statements and related notes included in our Annual Report for the year ended December 31, 2020. The December 31, 2020 unaudited Condensed Consolidated Balance Sheet was derived from audited consolidated financial statements contained in our Annual Report for the year ended December 31, 2020, but does not include all disclosures required

by U.S. GAAP. Operating results for the interim periods are not necessarily indicative of the results that may be expected for the fiscal year ending December 31, 2021.

Item 4. Management's discussion and analysis

Overview

Our mission is to create better informed and more efficient financial markets.

We operate three business lines:

- OTC Link LLC is a FINRA member broker-dealer that operates three SEC regulated ATSs.
- Market Data Licensing distributes market data and financial information.
- Corporate Services operates the OTCQX and OTCQB markets and offers issuers disclosure and regulatory compliance products.

We operate regulated trading systems, connect brokers, incentivize disclosure and organize securities. We distribute market data that informs investment decisions, enables the efficient pricing of risk, and assists regulated entities in meeting their compliance obligations. We offer an open, competitive platform that provides a wide spectrum of companies with the benefits of being public, and acts as a gateway for global companies to access the U.S. markets.

Our Business

Our wholly owned subsidiary, OTC Link LLC provides regulated quotation, messaging, trade execution and reporting services to broker-dealers. By offering multiple market models, control of trades and choice of counterparties, broker-dealer subscribers can efficiently provide best execution, attract order flow, and comply with FINRA and SEC regulations. OTC Link is a FINRA member broker-dealer and operates OTC Link ATS, OTC Link ECN, and OTC Link NQB, each an SEC regulated ATS. OTC Link NQB launched during the third quarter of 2021. For more information regarding OTC Link NQB, see *Recent Business Developments*, below.

OTC Link ATS offers a fully attributable, network-based model for quoting and facilitating transactions in OTC equity securities and serves a diverse community of FINRA member broker-dealers that operate as market makers, agency brokers and ATSs, including Electronic Communication Networks ("ECNs"). OTC Link ATS operates as a Qualified Interdealer Quotation System ("Qualified IDQS") as defined under Rule 15c2-11 of the Exchange Act ("Rule 15c2-11"). OTC Link ATS consolidates broker-dealer quotes, delivers trade messages and allows subscribers to execute or negotiate bilateral trades with known counterparties. OTC Link ATS also offers a Quote Access Payment service ("QAP") that allows subscribers to set access fees and rebates with counterparties.

OTC Link ECN functions as a centralized matching engine and router for certain OTC securities by providing subscribers with anonymous order matching functionality. OTC Link NQB operates as a fully attributable Interdealer Quotation System ("IDQS") and a centralized matching engine, allowing distribution of depth-of-book market data. OTC Link ECN and OTC Link NQB act as the executing party on an agency basis in relation to all transactions executed on these platforms. When orders do not match internally on OTC Link ECN or OTC Link NQB, they are routed to other market destinations.

Pursuant to applicable FINRA rules, OTC Link ECN and OTC Link NQB submit trade reports to FINRA's OTC Reporting Facility. All transactions executed on OTC Link ECN and OTC Link NQB are cleared and settled pursuant to a clearing agreement with Apex Clearing Corporation.

Due to the role OTC Link plays in supporting the broker-dealer trading process, and our interaction with issuers, we generate a significant amount of market data and information. Our Market Data Licensing business provides our subscribers with access to extensive market data and financial information, which includes real-time, delayed and end-of-day quotation and trading data, as well as security master data, company data and compliance data.

We offer a suite of market data licenses, priced per enterprise or per user, through direct connectivity, extranet providers, third-party market data redistributors and Order Management Systems (“OMS”). We generate a majority of our Market Data Licensing revenues from sales through market data redistributors, and certain of our Market Data Licensing agreements include redistribution fees and rebates.

We also charge for the display of advertisements on www.otcmarkets.com.

Our Corporate Services business line includes the OTCQX Best Market, the OTCQB Venture Market, the Pink Open Market, and our suite of disclosure and information services.

The OTCQX Best Market provides efficient public trading without the complexity and cost of a national securities exchange listing. To join OTCQX, companies must meet minimum financial, disclosure and qualitative standards set out in our OTCQX Rules.

The OTCQX market is divided into OTCQX U.S. and OTCQX International. OTCQX for Banks, an expansion of the OTCQX market for U.S. companies, is specifically aimed at meeting the needs of community and regional banks. The OTCQX International market is targeted towards (i) large global companies that meet the listing standards of a qualified non-U.S. stock exchange in their primary market and do not see value in meeting multiple regulatory, compliance, disclosure, and accounting standards associated with a U.S. exchange listing, and (ii) emerging growth companies that are listed on a qualified non-U.S. stock exchange and may be working towards a U.S. exchange listing, but are not yet ready to deploy the management resources necessary to handle the operational complexity and cost burdens.

The OTCQB Venture Market provides public trading for entrepreneurial and development-stage companies and applies standards that promote price transparency and facilitate public disclosure. OTCQB is open to international and domestic companies that meet the applicable OTCQB Standards.

Securities traded on OTC Link ATS that do not meet the standards of, or choose not to apply for, the OTCQX Best Market or the OTCQB Venture Market are traded on the Pink Open Market. OTC Markets Group categorizes companies on the Pink market as “Pink Current Information” or “Pink Limited Information” based on the sufficiency and timeliness of the information provided to investors. Pink companies can (i) be SEC reporting, (ii) meet our International Reporting Standard by complying with Exchange Act Rule 12g3-2(b), or (iii) subscribe to our OTC Disclosure & News Service® (“DNS”) to make current information publicly available to their investors on our website and through our distribution channels in accordance with the Pink Basic Disclosure Guidelines and Rule 15c2-11. Following the effective date of Rule 15c2-11 on September 28, 2021, we no longer maintain a distinct “Pink No Information” market tier. For more information regarding Rule 15c2-11, see *Recent Regulatory Developments Impacting our Business*, below.

We publish company and security-level compliance flags to help investors identify opportunity and quantify risk. For example, companies whose stock is the subject of a public interest concern are flagged “Caveat Emptor,” or buyer beware.

We also operate an Expert MarketSM tier with restricted quote distribution. The Expert Market allows broker-dealers to publish unsolicited quotes and meet their best execution responsibilities while serving the needs of sophisticated investors.

Recent Business Developments

Impact of the Ongoing COVID-19 Pandemic

Considerable uncertainty remains regarding the trajectory of the ongoing COVID-19 pandemic and its potential impact on global, regional and national economic conditions.

With the lifting of various COVID-19 restrictions, we have resumed in-office operations on a flexible schedule. We will continue to evaluate the unfolding situation and apply a conservative and measured approach that balances the health and safety of our colleagues, operational effectiveness and our ability to serve our subscribers.

The ongoing COVID-19 pandemic did not have an adverse effect on our revenues and financial results for the three or nine months ended September 30, 2021. However, it is possible that global economic conditions and the ongoing COVID-19 pandemic could have an adverse effect on our future business, financial condition and results of operations.

The potential impact on our financial results is discussed further in the *Trends in Our Business* section, below.

OTC Link NQB

During the third quarter of 2021, we launched OTC Link NQB, our third ATS. OTC Link NQB operates as an IDQS and offers a fully attributable matching engine model, while also allowing our Market Data Licensing business to distribute depth-of-book market data. As an SEC-regulated ATS, OTC Link NQB will be subject to Consolidated Audit Trail (“CAT”) and Regulation ATS requirements. We will continue to dedicate resources to growing OTC Link NQB’s subscriber base and improving its value proposition to our subscribers. It is not yet possible to predict OTC Link NQB’s long term success, and we do not expect its recent launch to be material to our financial results in 2021.

Virtual Investor Conferences® Business

We have continued to devote internal resources to growing our Virtual Investor Conferences (“VIC”) business. The VIC allows issuers to communicate and engage with stockholders and potential investors through an interactive, online platform in an entirely virtual environment. During the nine months ended September 30, 2021, we hosted 23 VICs, with a total of 432 companies participating, compared to 19 VICs, with a total of 232 companies participating, during the same prior year period.

Recent Regulatory Developments Impacting our Business

SEC Exchange Act Rule 15c2-11

The SEC’s amendments to Rule 15c2-11 went into effect on September 28, 2021 (the “Compliance Date”). Rule 15c2-11 governs the publication of quotations in securities in an IDQS such as our OTC Link ATS. Beginning on the Compliance Date, Rule 15c2-11 requires that the issuer of a security have certain current information publicly available before the security can be the subject of public broker-dealer proprietary quotations (“Public Broker-Dealer Quotations”) on OTC Link ATS.

OTC Link ATS operates as a Qualified IDQS under Rule 15c2-11. In this capacity, OTC Link ATS determines whether a security is eligible for Public Broker-Dealer Quotations under Rule 15c2-11 and publishes such determination on our website and via our market data feeds. Broker-dealers can rely on our publicly available determinations in submitting Public Broker-Dealer Quotations in securities on our OTC Link ATS. The ability of OTC Link ATS to act as a Qualified IDQS relieves broker-dealers of the obligation to independently review company information.

OTC Link ATS also makes determinations as to the specific requirements of Rule 15c2-11, including whether securities meet one or more exception under the rule, such as the exemption for larger issuers that meet minimum assets, shareholders’ equity and average daily trading metrics (the “Large Company Exemption”).

Where OTC Link ATS is unable to confirm that a company has current information publicly available under Rule 15c2-11 (e.g. “No Information” securities), the issuer’s securities may be eligible for quotes representing unsolicited customer orders (“Unsolicited Quotations”) on our Expert Market. Broker-dealers may use the Expert Market to satisfy best execution requirements and publish Unsolicited Quotations from investors that are not affiliates of the subject company. Quotations in Expert Market securities are not made publicly available.

Companies meeting the OTCQX Rules or OTCQB Standards remain eligible for Public Broker-Dealer Quotations, subject to certain restrictions on shell and other non-operational companies. OTC Link ATS designates companies on the Pink Current or Pink Limited market tiers if it is able to confirm that the

issuer's disclosure is current and publicly available under Rule 15c2-11 (i) via the SEC's EDGAR system, (ii) through OTC Markets Group's DNS, or (iii) in accordance with Exchange Act Rule 12g3-2(b) and our International Reporting Standard. Securities on the Pink Current and Pink Limited market tiers may either be eligible for Public Broker-Dealer Quotations or Unsolicited Quotations only.

Subsequent to the Compliance Date, OTC Markets Group, on behalf of OTC Link ATS in its capacity as a Qualified IDQS, began conducting initial reviews under paragraph (a)(2) of Rule 15c2-11 ("Initial Review") for companies joining the OTCQX and OTCQB markets. The Initial Review process is incorporated into the OTCQX and OTCQB application process. Companies that seek to be quoted on the Pink market may otherwise choose to work with a broker-dealer to file a Form 211 with FINRA to initiate Public Broker-Dealer Quotations.

We have devoted, and will continue to devote, significant technology, compliance, legal, personnel and other resources towards compliance with Rule 15c2-11.

Our Corporate Services financial results have been impacted as a result of the amendments to Rule 15c2-11, with a marked increase in the number of companies subscribing to our Corporate Services products, partially offset by an increase in headcount on our Issuer Services team.

FINRA Rule 6432

On September 28, 2021, FINRA's amendments to FINRA Rule 6432 (Compliance with the Information Requirements of SEA Rule 15c2-11) ("Rule 6432") became effective. The amendments to Rule 6432 establish the requirements for Qualified IDQSs (such as OTC Link ATS) with respect to Initial Reviews conducted pursuant to paragraph (a)(2) of Rule 15c2-11. Under Rule 6432, OTC Link ATS is required to submit to FINRA (i) a modified Form 211 after the publication of the Initial Review determination, and (ii) a daily data file with specified information about securities quoted on OTC Link ATS.

OTC Link has commenced submitting modified Form 211s and daily data files pursuant to Rule 6432. We do not expect the ongoing costs of compliance with Rule 6432 to have a material impact on our financial results.

Consolidated Audit Trail

In 2016, the SEC approved a National Market System ("NMS") plan to create a comprehensive database of trading activity, known as the Consolidated Audit Trail or CAT, for regulatory market surveillance purposes. Under the CAT plan, self-regulatory organizations ("SROs") and FINRA member broker-dealers (such as OTC Link LLC) are required to report information to, and fund the operation of, the CAT. The initial phase of CAT reporting obligations applicable to OTC Link LLC and its broker-dealer subscribers began in June 2020.

Phase 2(c) of the CAT plan became effective in April 2021 and Phase 2(d) will become effective in December 2021. Our CAT reporting requirements are likely to result in increased compliance and technology costs that may eventually be material in the aggregate, however, we do not expect the implementation of the CAT plan to be material to our financial results in 2021 and will continue to evaluate its impact in future periods.

FINRA Rule 6439 and Retirement of the OTC Bulletin Board® ("OTCBB") Service

On June 3, 2021, the SEC issued an order approving FINRA's proposed rule to cease operation of the OTCBB and enhance the regulatory obligations related to member IDQSs by introducing proposed Rule 6439 ("Rule 6439").

Rule 6439 became effective on October 1, 2021 and imposes additional requirements on member IDQSs, such as OTC Link ATS and OTC Link NQB, that permit quotation updates on a real-time basis. The requirements under Rule 6439 include monthly reporting obligations for order and quotation data, timely reporting of system disruptions and the implementation of certain compliance procedures.

FINRA ceased operation of the OTCBB, and the Bulletin Board Dissemination Service (BBDS) data feed, effective November 8, 2021.

We do not expect the closing of the OTCBB or Rule 6439 to have a material impact on our financial results.

Blue Sky Secondary Trading Exemptions for OTCQX and OTCQB

As of November 1, 2021, our OTCQX and OTCQB markets are exempt from state Blue Sky laws regarding secondary trading in 37 states: Alaska, Arkansas, Colorado, Connecticut, Delaware, Georgia, Hawaii, Idaho (OTCQX only), Indiana, Iowa, Kansas (OTCQX only), Kentucky, Louisiana, Maine, Michigan, Minnesota, Mississippi, Missouri, Nebraska, New Jersey, New Mexico, North Dakota, Ohio, Oklahoma, Oregon, Pennsylvania, Rhode Island, South Dakota, Tennessee, Texas, Utah, Vermont (OTCQX only), Virginia (OTCQX only), Washington, West Virginia, Wisconsin and Wyoming. State Blue Sky laws generally help investors make informed decisions by mandating that companies disclose accurate and current information when offering or marketing securities. We believe recognition of our markets by state regulators and the resulting Blue Sky exemptions make OTCQX and OTCQB more attractive to current and prospective companies. However, the impact of this initiative on our financial results is indirect, and therefore difficult to determine.

ESOP Fairness Act

On February 11, 2020, the ESOP Fairness Act (S.3270) (H.R.5851) was introduced by bi-partisan co-sponsors in the House and Senate and later gained additional co-sponsors in the 116th Congress. The ESOP Fairness Act would put qualified companies that meet established financial and disclosure standards, such as those traded on the OTCQX market, on par with exchange listed companies by allowing them to fully access the benefits of public company employee stock ownership plans, or ESOPs. The bill was reintroduced in the Senate on May 11, 2021. We would expect this legislation, if passed by Congress in its current form and signed into law, to have a positive effect on our financial results.

FINRA Order Routing Disclosure Proposal

On October 6, 2021, FINRA published Regulatory Notice 21-35 ("RN 21-35"), seeking comment on a proposal to require members to publish quarterly order routing disclosure reports for held orders in OTC Equity Securities. The proposal would impose reporting obligations on OTC Link subscribers similar to those required for NMS securities under Rule 606(a) of Regulation NMS, including disclosure of order routing venues and payment for order flow arrangements.

While the proposal, if enacted in its current form, may impact OTC Link subscribers, the impact on our financial results would be indirect, and therefore difficult to determine.

Trends in Our Business

The COVID-19 pandemic did not adversely affect our financial results in the three or nine months ended September 30, 2021. However, considerable uncertainty still surrounds the continuing trajectory of the pandemic and its potential long-term effects on the global economy. The full scope and extent of the potential impact on our business in future quarters is dependent on a number of factors that are highly uncertain and cannot be predicted. Additional information regarding the impact of COVID-19 on our business is included in the *Risk Factors* section of our Annual Report for the year ended December 31, 2020.

In the three months ended September 30, 2021, our Corporate Services business continued to experience substantial growth in the number of companies joining our OTCQX and OTCQB markets, as well as a significant increase in the number of DNS applications. The Corporate Services growth resulted from strong sales in conjunction with issuers seeking to comply with Rule 15c2-11 in advance of the September 28, 2021 Compliance Date.

During the third quarter 2021, our OTC Link business saw continued moderation of the volume of trading activity on OTC Link ATS and OTC Link ECN from the unprecedented levels reached earlier in the year. Compared to the prior year period, however, trading volumes remained strong. Our Market Data Licensing business continued to benefit from growth in users.

For the quarter ended September 30, 2021, 78% of our revenues were derived from subscription-based arrangements that are recurring in nature and 22% were transaction-based revenues, compared to 82% and 18%, respectively, for the prior year quarter. Both components of our revenues increased substantially by 35% and 74%, respectively, compared to the prior year quarter.

OTC Link

Our OTC Link business saw an increased number of trades on OTC Link ECN and an increased number of quotes and trade messages on OTC Link ATS during the three months ended September 30, 2021, compared to the prior year quarter. We executed an average of approximately 39,000 transactions per day on our OTC Link ECN during the three months ended September 30, 2021, compared to approximately 10,000 transactions per day during the same prior year quarter. This contributed to significant revenue growth from our OTC Link ECN and was the primary driver of the 60% year over year increase in revenues from OTC Link. In addition, we added 6 new subscribers to OTC Link ECN during the third quarter, increasing our subscriber base to 90, up from 69 subscribers as of September 30, 2020.

We expect to continue to attract new subscribers to the platform and to grow our market share. However, the total addressable market is relatively limited, and in order to capture additional market share, we may choose to compete more aggressively. OTC Link ECN generated \$2.9 million in revenues in the third quarter of 2021 and paid \$1.7 million in transaction-based expenses in the form of rebates for posted liquidity, up from \$1.1 million in revenues and \$0.6 million in transaction-based expenses for the prior year period. The transaction-based revenues and transaction-based expenses that OTC Link generates, as well as OTC Link's regulatory and clearing costs included in professional and consulting fees, are correlated with the volume of activity on our markets; however, future trading volumes are highly uncertain and cannot be predicted.

The incremental expenses we have incurred to date in launching OTC Link NQB have not been material and we do not expect its launch to be material to our overall financial results in 2021. Furthermore, we do not expect the operating expenses of running OTC Link NQB on an ongoing basis to be material.

Market Data Licensing

In our Market Data Licensing business, the number of professional users subscribing to our data products increased 13% to reach 25,870 as of September 30, 2021, up from 22,926 as of September 30, 2020. The growth in the number of users helped drive a 12% year over year increase in revenues derived from professional users.

The number of non-professional users of our market data has seen continued year over year growth since the outset of the COVID-19 pandemic in March 2020, which correlates to increased retail participation in the U.S. equity markets generally. The number of non-professional users increased by 45% to reach 29,156 users as of September 30, 2021, up from 20,102 users as of September 30, 2020.

We continue to focus resources on developing and enhancing the relevance of our compliance analytics and compliance data products for our market data subscribers. Our Canari® compliance tool provides users with a comprehensive view of quantitative compliance data for a wide spectrum of securities. As of September 30, 2021, a total of 47 firms subscribe to our Compliance Data or Compliance Analytics products, up from 44 firms as of September 30, 2020.

Effective January 1, 2021, we introduced fee increases for certain of our real-time, delayed and end-of-day data offerings.

Corporate Services

During the third quarter of 2021, our Corporate Services business continued to experience strong sales and issuer engagement in line with similar trends in the first half of 2021. Our DNS product, as well as our premium OTCQX and OTCQB markets, allows issuers to meet their current public disclosure requirements under Rule 15c2-11. As a result, an increasing number of companies subscribed to our Corporate Services products, notably DNS, in advance of the Compliance Date.

The OTCQX Best Market reached 561 companies as of September 30, 2021, up from 441 companies as of September 30, 2020. The robust pace of OTCQX sales during the first half of 2021 continued during the third quarter and drove the increase in companies on the OTCQX market, while downgrades and other service cancellations remained broadly consistent with our historical experience.

Effective January 1, 2021, we raised our annual fees for our OTCQX market from \$20 thousand to \$23 thousand. Companies on our OTCQX market choose to renew their services at the end of each calendar year.

As of September 30, 2021, there were 1,067 companies on the OTCQB Venture Market, up from 874 companies as of September 30, 2020. Strong new sales, in conjunction with issuers seeking to comply with Rule 15c2-11, drove the increase in companies on OTCQB during the third quarter compared to the prior year quarter.

OTCQB companies renew on an annual or semi-annual basis, based on the date they joined the market. Effective January 1, 2021, we raised the annual fees for our OTCQB market from \$12 to \$14 thousand for those paying annually, and from \$13 to \$15 thousand for those paying semi-annually. We also raised our OTCQB application fee and certain other Corporate Services fees. Historically, over 90% of OTCQB companies that remain in compliance with our OTCQB Standards choose to renew their services at the end of their service terms.

International issuers continued to be a significant driver of the growth in the number of companies on our OTCQX and OTCQB markets, and we saw increased sales from our U.K. office and in the Canadian market. We added 44 and 90 international issuers to our OTCQX and OTCQB markets, respectively, during the third quarter of 2021, compared to 35 and 48 international issuers, respectively, during the prior year period.

Effective October 1, 2021, we increased our DNS application fee. Beginning January 2022, we plan to introduce annual, incremental pricing adjustments to our fees for the OTCQX and OTCQB markets. We will also be adjusting our pricing for certain other Corporate Services products.

Regulatory and Legislative

We intend to continue our efforts to gain federal regulatory recognition for our data driven market standards and compliance processes and advocate for changes that provide issuers with a more efficient public market. Recognition of our market standards by federal, state and international regulators provides investors with a benchmark against which to measure the quality of information available to them, while providing corporate issuers with a more efficient public market.

For additional disclosure related to our regulatory initiatives, including Rule 15c2-11, see *Recent Regulatory Developments Impacting Our Business*, above.

General Business Matters

We continue to evaluate both the current and future period impact of increasing costs related to our personnel, IT infrastructure and expense base more generally. Consistent with other companies in the financial technology sector, compensation and information technology costs comprise a significant proportion of our overall expense base, representing approximately 80% of our total operating expenses in each of the quarters ended September 30, 2021 and 2020. We recognize the importance of attracting and retaining the talent required to develop our service offerings and manage our infrastructure.

We have added headcount where we believe those additional resources can drive future earnings growth or are necessary to process the increased volume of business and provide reliable services to our clients. Adding headcount also allows us to comply with our regulatory obligations, including those under Regulation Systems Compliance and Integrity ("SCI"), Rule 15c2-11 and our CAT reporting responsibilities. We expect that future investments related to our regulatory compliance obligations will be material to our financial results. Our headcount as of September 30, 2021 was 109, an increase of eight versus our headcount of 101 employees as of September 30, 2020.

How OTC Markets Group Generates Revenues

Each of our three business lines offers a distinct fee structure designed to serve its constituents. OTC Link operates OTC Link ATS, with a subscription model and usage-based fees, and OTC Link ECN and OTC Link NQB, with transaction-based fees. Corporate Services charges application fees, and subscription fees on an annual and semi-annual basis. Market Data Licensing charges distribution and licensing fees. A significant proportion of our revenues are derived pursuant to subscription arrangements and are recurring in nature. Each of our business lines is described in detail below.

OTC Link

OTC Link generates revenues through subscription arrangements and transaction-based fees to broker-dealer subscribers.

Broker-dealers pay monthly subscription and connectivity fees to use OTC Link ATS. Our OTC Dealer[®] application provides broker-dealers a user interface into OTC Link ATS. Fees for the use of the OTC Dealer application are based on the number of authorized users per subscriber and are discounted in graduated amounts in relation to total users per subscriber.

OTC Link ATS's FINRA member broker-dealer subscribers pay per security usage fees to (i) publish quotes and (ii) communicate and negotiate with counterparties on OTC Link ATS. Monthly OTC Link ATS position fees are based on the number of daily quote positions in Pink securities, with tiered pricing arrangements based on volume. Monthly OTC Link ATS message fees are based on the daily number of securities on OTC Link ATS for which trade messages are sent or received, with tiered pricing arrangements based on volume. The daily quoting and messaging fees allow subscribers to make unlimited quote updates and send and receive an unlimited number of trade messages in a single security on a given day. OTC Link ATS also generates revenues from its QAP service.

OTC Link ECN generates transactional revenues based on share volume executed. Broker-dealer subscribers pay a fixed fee per share executed where their orders remove posted liquidity on OTC Link ECN, while receiving a rebate on shares executed against their own posted liquidity. To the extent that OTC Link ECN routes orders to OTC Link ATS, OTC Link ECN may earn fees for orders that provide liquidity, while paying a fee for those orders that remove liquidity. OTC Link NQB is expected to generate transactional revenues and incur transaction-based expenses in a manner similar to OTC Link ECN. Fees earned are recognized as transaction-based revenues, while fees paid are recognized as transaction-based expenses.

Market Data Licensing

Market Data Licensing generates revenues by licensing our extensive market data, compliance data, company data and security information collected through our OTC Link and Corporate Services business lines.

Market Data Licensing subscribers include investors, traders, institutions, accountants, and regulators that pay monthly license fees to access this information. We offer a suite of market data licenses, priced at per enterprise or per subscriber rates, through direct connectivity, extranet connectivity, third-party market data redistributors and OMS providers. Depending on the license type, subscribers may distribute the market data on an internal-only basis, to clients or to the public. We generate a majority of our Market Data Licensing revenues from sales through market data redistributors.

Certain of our market data license agreements include redistribution fees and rebates, which represented 9% of Market Data Licensing gross revenues for the third quarter and first nine months of 2021 and 10% for each of the respective periods of 2020.

Pricing information for each of our market data licenses is publicly available on our website.

We also charge for the right to display advertisements on www.otcmarkets.com. Website advertising revenue is included in our Market Data Licensing business line.

Corporate Services

We operate the OTCQX Best Market and the OTCQB Venture Market, and offer a suite of services to companies trading on all of our markets. These services include DNS for posting financial reports, disclosure documents and news releases; Real-Time Level 2 Quote Display, a service that companies sponsor to provide their investors with access to free real-time level 2 quotes on www.otcmarkets.com and the issuer's website; the Blue Sky Monitoring Service for analysis, review, and guidance about a company's compliance with each U.S. state's securities laws; and our VIC product, which allows issuers to communicate and engage with investors and potential investors.

Companies that choose to have their securities designated as OTCQX securities do so annually, on a calendar year basis, while companies on the OTCQB market renew their services annually or semi-annually on the anniversary of the date on which they joined the market. All OTCQX or OTCQB companies pay a one-time application fee and annual or semi-annual fees. These fees are fixed and do not vary based on outstanding shares, market capitalization, market segment or otherwise. Companies on both markets also receive access to DNS, Real-Time Level 2 Quote Display, the Blue Sky Monitoring Service, and the VIC product.

Pink companies may subscribe separately to these additional services and pay one-time application fees, and annual or semi-annual subscription fees, as applicable.

Each of these services may be accessed through www.otciq.com.

Key Metrics

The table below presents key metrics for our OTC Link, Corporate Services and Market Data Licensing business lines for the three and nine months ended September 30, 2021 and 2020.

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2021	2020	2021	2020
OTC Link				
Number of active ATS subscribers ⁽¹⁾	85	82	85	82
Number of active ECN subscribers ⁽¹⁾	90	69	90	69
New Form 211 filings	151	196	548	342
<i>Number of securities quoted: ⁽¹⁾</i>				
OTCQX	610	490	610	490
OTCQB	1,113	921	1,113	921
Pink	9,881	9,970	9,881	9,970
Total	11,604	11,381	11,604	11,381
<i>Dollar volume traded (in thousands):</i>				
OTCQX	\$ 41,801,689	\$ 17,020,511	\$ 179,431,277	\$ 57,399,151
OTCQB	5,007,528	6,941,599	30,865,551	17,440,213
Pink	107,295,440	69,988,225	342,002,438	243,795,213
Total	\$ 154,104,656	\$ 93,950,335	\$ 552,299,266	\$ 318,634,577
<i>Dollar volume per security (in thousands):</i>				
OTCQX	\$ 68,527	\$ 34,736	\$ 294,150	\$ 117,141
OTCQB	4,499	7,537	27,732	18,936
Pink	10,859	7,020	34,612	24,453
Corporate Services				
Graduates to a national securities exchange	45	19	120	44
<i>Number of corporate clients: ^{(1)/(2)}</i>				
OTCQX	561	441	561	441
OTCQB	1,067	874	1,067	874
Pink	1,556	722	1,556	722
Total	3,184	2,037	3,184	2,037
Market Data Licensing				
Market data professional users ⁽¹⁾	25,870	22,926	25,870	22,926
Market data non-professional users ⁽¹⁾	29,156	20,102	29,156	20,102
Market data compliance file users ⁽¹⁾	47	44	47	44

(1) Figures presented are at period end.

(2) Figures presented represent the number of companies subscribing to our services.

The number of securities on the Pink market tier changed as of the Rule 15c2-11 Compliance Date. Companies previously designated as “Pink No Information” were moved to the Expert Market, while companies that had not been previously quoted but met the Rule’s Large Company Exemption were migrated to the Pink Market. This movement resulted in an overall reduction in the total number of securities on the Pink market. The table below presents comparative information regarding the number of securities quoted on the Pink market immediately before and after the September 28, 2021 Compliance Date of Rule 15c2-11. See *Recent Regulatory Developments Impacting our Business*, above, for additional information concerning the impact of Rule 15c2-11 on securities quoted on our markets.

	As of June 30, 2021	As of September 27, 2021	As of September 30, 2021
<i>Number of securities quoted: ⁽¹⁾</i>			
Pink	11,081	11,098	9,881

(1) Figures presented are at period end.

Financial Results

Consolidated Results from Operations

The table below presents comparative information from the Company's unaudited interim Condensed Consolidated Statements of Income for the three and nine months ended September 30, 2021 and 2020.

(in thousands, except shares and per share data)	Three Months Ended September 30,			Nine Months Ended September 30,		
	2021	2020	% change	2021	2020	% change
Gross revenues	\$ 25,220	\$ 17,747	42%	\$ 76,745	\$ 51,450	49%
Net revenues	24,476	17,058	43%	74,514	49,354	51%
Revenues less transaction-based expenses	22,808	16,444	39%	66,819	47,695	40%
Operating expenses	13,132	10,966	20%	39,581	32,937	20%
Income from operations	9,676	5,478	77%	27,238	14,758	85%
Operating profit margin	39.5%	32.1%		36.6%	29.9%	
Income before provision for income taxes	9,688	5,443	78%	27,255	14,749	85%
Net income	\$ 7,512	\$ 4,459	68%	\$ 21,422	\$ 12,550	71%
Diluted earnings per share	\$ 0.62	\$ 0.37	68%	\$ 1.78	\$ 1.05	70%
Weighted-average shares outstanding, diluted	11,812,910	11,620,153	2%	11,762,693	11,623,938	1%

Revenues and Transaction-Based Expenses

The following table presents OTC Markets Group's gross revenues by business line and consolidated revenues less transaction-based expenses for the three and nine months ended September 30, 2021 and 2020.

(in thousands)	Three Months Ended September 30,			Nine Months Ended September 30,		
	2021	2020	% change	2021	2020	% change
OTC Link	\$ 6,110	\$ 3,816	60%	\$ 24,073	\$ 10,795	123%
Market data licensing	8,489	7,172	18%	24,974	20,775	20%
Corporate services	10,621	6,759	57%	27,698	19,880	39%
Gross revenues	25,220	17,747	42%	76,745	51,450	49%
Redistribution fees and rebates	(744)	(689)	8%	(2,231)	(2,096)	6%
Net revenues	24,476	17,058	43%	74,514	49,354	51%
Transaction-based expenses	(1,668)	(614)	172%	(7,695)	(1,659)	364%
Revenues less transaction-based expenses	\$ 22,808	\$ 16,444	39%	\$ 66,819	\$ 47,695	40%

Gross Revenue increased by \$7.5 million, or 42%, and \$25.3 million, or 49%, in the third quarter and first nine months of 2021, respectively, compared to the same periods in 2020.

- OTC Link revenues increased \$2.3 million, or 60%, and \$13.3 million, or 123%, in the third quarter and first nine months of 2021, respectively. The increases during both periods were primarily driven by a \$1.8 million, or 168%, and \$11.1 million, or 391%, increase in revenue from OTC Link ECN, respectively, with new subscribers and an active U.S. equities market driving an increase in volumes on the platform. The growth in OTC Link revenues in the third quarter and first nine months of 2021 was further supported by an increase in revenue from QAP One Statement fees of \$152 thousand, or 88%, and \$1.1 million, or 241%, respectively, and an increase in revenue from messages on OTC Link ATS of \$156 thousand, or 16%, and \$856 thousand, or 30%, respectively, as a result of higher trading volumes.
- Market Data Licensing revenues increased \$1.3 million, or 18%, and \$4.2 million, or 20%, in the third quarter and first nine months of 2021, respectively. The increases during both periods were

primarily due to an increase of \$451 thousand, or 12%, and \$1.2 million, or 11%, respectively, in revenues from professional user licenses, driven by increases in reported user counts. The continued retail interest in the U.S. equity markets contributed to a \$271 thousand, or 39%, and \$1.3 million, or 82%, increase in revenues from non-professional users in the third quarter and first nine months of 2021, respectively. The increases in Market Data Licensing revenues were further supported by a \$165 thousand and \$478 thousand, or 48%, increase in internal system license revenues in the third quarter and first nine months of 2021, respectively.

- Corporate Services revenues increased \$3.9 million, or 57%, and \$7.8 million, or 39%, in the third quarter and first nine months of 2021, respectively. The revenue growth was primarily driven by an increase of \$1.3 million, or 54%, and \$3.0 million, or 44%, respectively, in OTCQX revenues, and an increase of \$1.4 million, or 48%, and \$2.7 million, or 31%, respectively, in OTCQB revenues. The growth in OTCQX and OTCQB revenues was a result of price increases introduced at the beginning of 2021 and a higher number of companies on the OTCQX and OTCQB markets compared to the same periods in 2020. Revenue from DNS increased by \$1.1 million, or 101%, and \$1.6 million, or 52%, in the third quarter and first nine months of 2021, respectively, due to a high number of companies subscribing to DNS to comply with the current public disclosure requirements under Rule 15c2-11. The increase was further impacted by higher revenue from the VIC business driven by heightened demand for virtual events.
- Transaction-based expenses, comprised of rebates paid to subscribers providing liquidity on our OTC Link ECN, increased \$1.1 million, or 172%, and \$6.0 million, or 364%, in the third quarter and first nine months of 2021, respectively, largely in line with the increase in volumes on OTC Link ECN.

Operating Expenses

The following table presents OTC Markets Group's consolidated operating expenses for the three and nine months ended September 30, 2021 and 2020.

(in thousands)	Three Months Ended September 30,			Nine Months Ended September 30,		
	2021	2020	% change	2021	2020	% change
Compensation and benefits	\$ 8,471	\$ 7,052	20%	\$ 25,914	\$ 21,919	18%
IT Infrastructure and information services	2,062	1,642	26%	5,576	4,730	18%
Professional and consulting fees	1,008	586	72%	3,327	1,801	85%
Marketing and advertising	218	138	58%	703	548	28%
Occupancy costs	521	877	(41%)	1,753	1,968	(11%)
Depreciation and amortization	446	441	1%	1,330	1,270	5%
General, administrative and other	406	230	77%	978	701	40%
Total operating expenses	<u>\$ 13,132</u>	<u>\$ 10,966</u>	20%	<u>\$ 39,581</u>	<u>\$ 32,937</u>	20%

Operating expenses increased \$2.2 million and \$6.6 million, or 20%, in the third quarter and first nine months of 2021, respectively, compared to the same periods in 2020.

- Compensation and benefits expenses increased \$1.4 million, or 20%, and \$4.0 million, or 18%, in the third quarter and first nine months of 2021, respectively. The overall increase in both periods primarily resulted from higher salary and incentive compensation accrued, in line with increased headcount and incentive award targets for 2021 based on improved earnings performance. Higher sales commissions driven by stronger OTCQX and OTCQB sales also contributed to the increase. As a percentage of gross revenues, compensation and benefits costs represented 34% for each of the three and nine months ended September 30, 2021, and 40% and 43% for the three and nine months ended September 30, 2020, respectively.
- IT infrastructure and information services expenses increased \$420 thousand, or 26%, and \$846 thousand, or 18%, in the third quarter and first nine months of 2021, respectively, primarily driven by additional data license costs associated with an increase in the number of companies on our markets. Data center, network, and software license costs in supporting and enhancing the growth of OTC Link ECN also contributed to the increase. The increase during both periods was further impacted by higher spending required to improve system security and update workstation equipment. These increases were partially offset by a decrease in spending related to telecommunications expenses.
- Professional and consulting fees increased \$422 thousand, or 72%, and \$1.5 million, or 85%, in the third quarter and first nine months of 2021, respectively. The increases in both periods were primarily related to higher OTC Link ECN clearing and regulatory costs in line with the higher number of transactions executed, and an increase in support costs related to our VIC business in line with an increase in the number of participating companies. Further contributing to the overall increase were consulting fees incurred for temporary personnel added to assist with the processing of the high number of applications for Corporate Services products in advance of the Rule 15c2-11 Compliance Date. These increases were partially offset by lower payroll processing fees as a result of switching to a lower-cost provider at the end of 2020.
- Marketing and advertising expenses increased \$80 thousand, or 58%, and \$155 thousand, or 28%, in the third quarter and first nine months of 2021, respectively, primarily due to public relations spending. A rebound in travel-related expenditures during the third quarter also impacted the increase compared to the third quarter of 2020. The increase in the first nine months was partially offset by lower expenses for sponsorship and events as well as lower travel costs, compared to the first nine months of 2020.
- Occupancy fees decreased \$356 thousand, or 41%, and \$215 thousand, or 11%, in the third quarter and first nine months of 2021, respectively. The decreases were primarily due to a one-

time catch up for certain building costs billed to us in 2020 by our sublandlord covering the period from the inception of the lease in October 2018.

- Depreciation and amortization increased \$5 thousand, or 1%, and \$60 thousand, or 5%, in the third quarter and first nine months of 2021, respectively. The increase during these periods was primarily due to IT infrastructure enhancements in 2020 and 2021.
- General, administrative and other fees increased \$176 thousand, or 77%, and \$277 thousand, or 40%, in the third quarter and first nine months of 2021, respectively. The increase was primarily driven by higher payment processing fees and bad debt expenses.

Income from Operations and Operating Profit Margin

(in thousands)	Three Months Ended September 30,			Nine Months Ended September 30,		
	2021	2020	% change	2021	2020	% change
Income from operations	\$ 9,676	\$ 5,478	77%	\$ 27,238	\$ 14,758	85%
Operating profit margin	39.5%	32.1%	23%	36.6%	29.9%	22%

Income from operations increased \$4.2 million, or 77%, in the third quarter, and \$12.5 million, or 85%, in the first nine months of 2021, respectively, compared to the same periods in 2020. The Company's operating profit margin expanded during each of the three and nine months ended September 30, 2021, primarily benefiting from revenue growth, while the majority of the expenses remained less variable in nature and did not correlate to revenue changes.

Net Income

(in thousands, except shares and per share data)	Three Months Ended September 30,			Nine Months Ended September 30,		
	2021	2020	% change	2021	2020	% change
Income before provision for income taxes	\$ 9,688	\$ 5,443	78%	\$ 27,255	\$ 14,749	85%
Provision for income taxes	2,176	984	121%	5,833	2,199	165%
Effective income tax rate	22.5%	18.1%	24%	21.4%	14.9%	44%
Net income	\$ 7,512	\$ 4,459	68%	\$ 21,422	\$ 12,550	71%

Net income increased \$3.1 million, or 68%, and \$8.9 million, or 71%, in the third quarter and first nine months of 2021, respectively, compared to the same periods in 2020. The increase in net income during both periods was due to the increase in income from operations, partially offset by an increase in the Company's effective tax rate. The higher effective tax rate during the third quarter of 2021 was a result of a decline in the amount of excess tax benefits from share-based compensation. The lower effective tax rate for the first nine months of 2020 was primarily a result of the reversal of previously recorded uncertain state tax expenses.

Liquidity and Capital Resources

Our liquidity is primarily derived from our working capital and cash flows from operations. We require cash to support our current operating levels, fund strategic growth initiatives, develop new services, enhance existing services, make capital expenditures, fund dividends and stock repurchases, and pay federal, state and local corporate taxes. We expect that our operations will provide sufficient cash to fund our strategic initiatives. We have no outstanding debt and, as described below, \$1.5 million available for business operations under our line of credit, which gives us additional flexibility in managing our cash flows (see *Line of Credit*, below).

Cash available for operations

The following table presents cash available for operations, which consists of cash as of September 30, 2021 and December 31, 2020.

(in thousands)	September 30, 2021	December 31, 2020	% change
Cash available for operations	\$ 49,985	\$ 33,733	48%

Cash available for operations increased \$16.3 million to \$50.0 million as of September 30, 2021, from \$33.7 million as of December 31, 2020. The Company generated \$25.1 million of cash from operations during the first nine months of 2021. The Company utilized operating cash flows and cash on hand to fund \$1.2 million in IT infrastructure enhancements, \$5.7 million in quarterly dividends and \$1.5 million in respect of repurchases of our Class A Common Stock.

Cash Flow

The following table presents sources and uses of cash flows during the nine months ended September 30, 2021 and 2020.

	Nine Months Ended September 30,		
	2021	2020	% change
Net cash provided by operating activities	\$ 25,076	\$ 10,321	143%
Net cash used in investing activities	(1,196)	(884)	35%
Net cash used in financing activities	(7,628)	(9,007)	(15%)
Net Increase (decrease) in cash and restricted cash	\$ 16,252	\$ 430	3680%

Net cash provided by operating activities

Net cash provided by operating activities for the nine months ended September 30, 2021 was \$25.1 million, as compared to \$10.3 million during the same prior year period. Net cash provided by operating activities for the first nine months consisted of net income of \$21.4 million and adjusted for non-cash items of \$3.6 million. Adjustments for non-cash items to net income primarily consisted of depreciation and amortization expense of \$1.3 million and stock-based compensation expenses of \$2.5 million. The increase in net cash provided by operating activities during the first nine months of 2021, as compared to the same prior year period, was primarily the result of an increase in net income and deferred revenue, partially offset by higher current year tax payments.

Net cash used in investing activities

Net cash used in investing activities during the nine months ended September 30, 2021 was \$1.2 million, as compared to \$884 thousand during the same prior year period. The cash used in both periods was primarily related to purchases of IT equipment for our data centers.

Net cash used in financing activities

Net cash used in financing activities during the nine months ended September 30, 2021 was \$7.6 million, as compared to \$9.0 million during the same prior year period. The net cash used in both periods was primarily related to dividends paid to holders of our Class A Common Stock and to repurchases of our Class A Common Stock. The decrease in the use of cash in the current period was primarily related to the decline in the amount of the Company's shares repurchased.

Capital resources and working capital

OTC Markets Group's working capital at September 30, 2021 was \$28.8 million, an increase of \$16.7 million, or 138%, from \$12.1 million at December 31, 2020. Working capital includes certain non-operating assets and liabilities, such as prepaid income taxes, deferred tax assets and liabilities, and income taxes payable. The increase in working capital during the nine months ended September 30, 2021 was primarily attributable to cash generated by operating activities.

Line of Credit

On July 7, 2012, the Company entered into a line of credit agreement with JPMorgan Chase (the “Line of Credit”) that provided up to \$1.5 million of available borrowing capacity to fund business operations. The effective interest rate of the Line of Credit is benchmarked to the London Inter Bank Offered Rate (“LIBOR”). The Line of Credit has been extended through June 24, 2022. We have not drawn funds on the Line of Credit. Under the terms of the Line of Credit, we agreed to fulfill certain affirmative and negative covenants and other specified terms. At September 30, 2021, the Company was in compliance with all of the covenants and other terms of the Line of Credit.

Operating Leases

We have entered into operating lease agreements for our offices and recognize rent expense on a straight-line basis over the terms of the leases.

Off-Balance Sheet Arrangements

None.

Item 5. Legal proceedings

There are no current, past, pending or threatened legal proceedings or administrative actions either by or against OTC Markets Group that could have a material effect on our business, financial condition or operations. The Company is not a party to any past or pending trading suspensions by a securities regulator.

Item 6. Defaults upon senior securities

None.

Item 7. Other information

None.

Item 8. Exhibits

- Exhibit 3.1 Unaudited interim condensed consolidated financial statements
- Exhibit 9.1 Certification of principal executive officer
- Exhibit 9.2 Certification of principal financial officer

Item 9. Certifications

Current certifications are filed as Exhibits 9.1 and 9.2 to this Quarterly Report.

Exhibit 3.1

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED BALANCE SHEETS
(in thousands, except share information)
(Unaudited)

	September 30, 2021	December 31, 2020
Assets		
Current assets		
Cash	\$ 49,985	\$ 33,733
Short-term restricted cash	-	32
Accounts receivable, net of allowance for credit losses of \$325 and \$194	7,601	6,609
Prepaid income taxes	894	356
Prepaid expenses and other current assets	1,450	1,375
Total current assets	59,930	42,105
Property and equipment, net	5,208	5,367
Operating lease right-of-use assets	15,194	14,844
Deferred tax assets, net	385	343
Goodwill	251	251
Intangible assets, net	40	40
Long-term restricted cash	1,564	1,532
Other assets	194	328
Total Assets	<u>\$ 82,766</u>	<u>\$ 64,810</u>
Liabilities and stockholders' equity		
Current liabilities		
Accounts payable	\$ 726	\$ 1,251
Accrued expenses and other current liabilities	10,792	9,965
Income taxes payable	54	16
Deferred revenue	19,521	18,765
Total current liabilities	31,093	29,997
Income tax reserve	937	801
Operating lease liabilities	14,849	14,466
Total Liabilities	46,879	45,264
Commitments and contingencies		
Stockholders' equity		
Common stock - par value \$0.01 per share		
Class A - 14,000,000 authorized, 12,456,835 issued, 11,775,468 outstanding at		
September 30, 2021; 12,346,491 issued, 11,709,857 outstanding at December 31, 2020	125	123
Additional paid-in capital	21,860	19,770
Retained earnings	27,541	11,770
Treasury stock - 681,367 shares at September 30, 2021 and 636,634 shares at December 31, 2020	(13,639)	(12,117)
Total Stockholders' Equity	35,887	19,546
Total Liabilities and Stockholders' Equity	<u>\$ 82,766</u>	<u>\$ 64,810</u>

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF INCOME
(in thousands, except per share information)
(Unaudited)

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2021	2020	2021	2020
Gross revenues	\$ 25,220	\$ 17,747	\$ 76,745	\$ 51,450
Redistribution fees and rebates	(744)	(689)	(2,231)	(2,096)
Net revenues	24,476	17,058	74,514	49,354
Transaction-based expenses	(1,668)	(614)	(7,695)	(1,659)
Revenues less transaction-based expenses	22,808	16,444	66,819	47,695
Operating expenses				
Compensation and benefits	8,471	7,052	25,914	21,919
IT Infrastructure and information services	2,062	1,642	5,576	4,730
Professional and consulting fees	1,008	586	3,327	1,801
Marketing and advertising	218	138	703	548
Occupancy costs	521	877	1,753	1,968
Depreciation and amortization	446	441	1,330	1,270
General, administrative and other	406	230	978	701
Total operating expenses	13,132	10,966	39,581	32,937
Income from operations	9,676	5,478	27,238	14,758
Other income (expense)				
Interest income	-	-	-	19
Other income(expense), net	12	(35)	17	(28)
Income before provision for income taxes	9,688	5,443	27,255	14,749
Provision for income taxes	2,176	984	5,833	2,199
Net income	\$ 7,512	\$ 4,459	\$ 21,422	\$ 12,550
Net income per share				
Basic	0.64	\$ 0.38	\$ 1.82	\$ 1.07
Diluted	0.62	\$ 0.37	\$ 1.78	\$ 1.05

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY
(in thousands)
(Unaudited)

	Nine Months Ended September 30,	
	2021	2020
Beginning balance	\$ 19,546	\$ 17,673
Increase from net income	21,422	12,550
Dividends paid	(5,651)	(5,247)
Stock-based compensation	2,547	2,345
Issuance of restricted and common shares, net	(455)	(240)
Purchases of treasury stock	(1,522)	(3,520)
Ending balance	<u>\$ 35,887</u>	<u>\$ 23,561</u>

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
(in thousands)
(Unaudited)

	Nine Months Ended September 30,	
	2021	2020
Cash flows from operating activities		
Net income	\$ 21,422	\$ 12,550
Adjustments to reconcile net income to net cash provided by operating activities		
Depreciation and amortization	1,330	1,270
Provision for bad debts	152	(11)
Stock-based compensation	2,547	2,345
Excess tax benefits related to stock-based compensation	(400)	(391)
Deferred income taxes	(42)	557
Changes in assets and liabilities:		
Accounts receivable	(1,144)	(634)
Prepaid expenses and other current assets	(75)	(79)
Prepaid income taxes	(538)	(250)
Accounts payable	(513)	397
Accrued expenses and other current liabilities	812	(70)
Income tax payable	438	475
Income tax reserve	136	(1,007)
Deferred revenue	756	(4,893)
Other changes in assets and liabilities	195	62
Net cash provided by operating activities	25,076	10,321
Cash flows from investing activities		
Purchases of property and equipment	(1,196)	(884)
Net cash used in investing activities	(1,196)	(884)
Cash flows from financing activities		
Dividends paid	(5,651)	(5,247)
Issuance of restricted and common shares, net	(455)	(240)
Purchases of treasury stock	(1,522)	(3,520)
Net cash used in financing activities	(7,628)	(9,007)
Net decrease in cash and restricted cash	16,252	430
Cash and restricted cash at beginning of period	35,297	29,778
Cash and restricted cash at end of period	<u>\$ 51,549</u>	<u>\$ 30,208</u>
Reconciliation of cash and restricted cash:		
Cash	\$ 49,985	\$ 28,647
Long-term restricted cash	1,564	1,561
Total Cash and restricted cash	<u>\$ 51,549</u>	<u>\$ 30,208</u>
Supplemental Disclosure of Cash Flow Information		
Income taxes paid, net of refund	\$ 6,240	\$ 2,815
Non-cash investing activities:		
Property and equipment included in accounts payable or accrued expenses	-	61

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements

(in thousands, except share and per share information)

Note 1. Description of Business

Overview

OTC Markets Group Inc. (“OTC Markets Group” or the “Company”) (OTCQX: OTCM) operates the OTCQX[®] Best Market, the OTCQB[®] Venture Market and the Pink[®] Open Market for over 11,000 U.S. and global securities. Through our regulated OTC Link[®] Alternative Trading Systems (“ATSS”), the Company connects a diverse network of broker-dealers that provide liquidity and execution services. OTC Markets Group enables investors to easily trade through the broker of their choice and empowers companies to improve the quality of information available for their investors.

OTC Link ATS, OTC Link ECN and OTC Link NQB are each a Securities and Exchange Commission (“SEC”) regulated ATS, operated by the Company’s wholly owned subsidiary OTC Link LLC (“OTC Link”), a Financial Industry Regulatory Authority, Inc. (“FINRA”) and SEC registered broker-dealer.

The Company has three business lines: OTC Link, Market Data Licensing and Corporate Services.

- OTC Link – OTC Link LLC operates three ATSS, OTC Link ATS, OTC Link ECN, and OTC Link NQB, which provide trading services to FINRA member broker-dealer subscribers.
- Market Data Licensing – OTC Markets Group provides market data and compliance data for a wide spectrum of securities and companies. The Market Data Licensing business line provides investors, traders, institutions, accountants and regulators with a suite of enterprise and user market data licenses, offered via direct or extranet connectivity, through third party market data redistributors or Order Management Systems (“OMS”).
- Corporate Services – OTC Markets Group operates the OTCQX Best Market and the OTCQB Venture Market and offers companies access to a suite of services that are designed to facilitate public disclosure and communication with investors, promote greater transparency and allow companies to demonstrate regulatory compliance and mitigate market risk. These services include the OTC Disclosure & News Service[®] (“DNS”), Real-Time Level 2 Quote Display, Blue Sky Monitoring Service and our Virtual Investor Conferences[®] (“VIC”) product.

Corporate Form

OTC Markets Group Inc. is a Delaware corporation. The Company is a “C” Corporation for federal, state, and local income tax purposes.

Note 2. Summary of Significant Accounting Policies

Basis of Presentation

The accompanying unaudited interim condensed consolidated financial statements are prepared in accordance with generally accepted accounting principles in the United States of America (“U.S. GAAP”) and include the accounts of the Company and its wholly-owned subsidiaries, OTC Link LLC, OTC Markets Group International Ltd, and Qaravan[®] Inc., and reflect all adjustments, consisting of normal recurring adjustments, that are, in the opinion of management, necessary for a fair statement of the results for the period. All intercompany transactions have been eliminated in consolidation. Management has assessed the segment reporting standards, analyzed how the chief operating decision maker (the Chief Executive Officer) manages the businesses, assesses performance and allocates resources; and has concluded that the Company has one reportable segment. Refer to Note 2, *Summary of Significant Accounting Policies*, from the Company’s Annual Report for the year ended December 31, 2020 for a full discussion of significant accounting policies.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

The interim condensed consolidated financial statements are unaudited and should be read in conjunction with the audited financial statements of the Company as of and for the year ended December 31, 2020. Operating results for the three and nine months ended September 30, 2021 are not necessarily indicative of the results that may be expected for the year ending December 31, 2021.

Use of Estimates

The preparation of these unaudited interim condensed consolidated financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities as of the date of the consolidated financial statements, and the reported amounts of revenue and expenses during the reporting periods. Estimates included in the unaudited interim condensed consolidated financial statements include allowance for credit losses, certain accrued expenses, stock-based compensation expense, the incremental borrowing rate used to calculate the present value of the operating lease liabilities, income tax reserve and provision for income taxes. Actual results could differ from those estimates. As the impact of the COVID-19 pandemic continues to unfold and additional information becomes available, some of our estimates and assumptions may change in future periods.

Note 3. Revenue Recognition

Substantially all of our revenues are derived from contracts with customers. Revenues are recognized when control of the promised goods or services is transferred to our customers in an amount that reflects the consideration we expect to be entitled to in exchange for those goods or services. In accordance with FASB Accounting Standards Codification Topic 606, we evaluate our contracts with customers based on a five-step methodology. We: (1) identify the contract with the customer; (2) identify the performance obligations under the contract; (3) determine the transaction price; (4) allocate the transaction price to the separate performance obligations; and (5) recognize revenue when each performance obligation is satisfied. Certain of our ancillary Market Data Licensing and Corporate Services offerings, including VIC, news release and advertising services, are usage-based and are delivered at a point in time. Accordingly, we recognize revenue upon delivery of the service in line with the contractual agreement. Neither represent a material source of revenues.

OTC Link

OTC Link LLC operates three ATSS, OTC Link ATS, OTC Link ECN, and OTC Link NQB. Broker-dealers pay monthly subscription fees that permit access to the trading system, including the OTC Dealer® application and related support and updates, if applicable, during the contract term. Fees for such access are based on the number of authorized users per subscriber and are calculated based on a tiered pricing arrangement. These fees are invoiced monthly and in advance of the monthly service period. The Company satisfies its performance obligations over the contract term and records revenue from these fees ratably over the month, with the unrealized portion recorded as deferred revenue on the Company's Consolidated Balance Sheets. The Company pays rebates to certain resellers of OTC Link ATS services. These are invoiced monthly based on the fixed rate specified in the applicable contract and recorded as a reduction of gross revenues.

In addition to the aforementioned monthly access fees, broker-dealer subscribers to OTC Link ATS pay usage-based fees to publish quotes and deliver trade messages electronically to counterparties. Those fees are recognized at the point in time when the performance obligation, the publication of the quote or delivery of the message, is satisfied. OTC Link ECN generates revenues based on share volume executed on the ECN matching platform. Broker-dealer counterparties pay a fixed fee per share executed where their orders remove posted liquidity on the ECN, while receiving a rebate on shares executed against their own posted liquidity. To the extent that OTC Link ECN routes orders to OTC Link ATS, OTC Link ECN may earn fees for orders that provide liquidity, while paying a fee for orders that

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

remove liquidity. OTC Link NQB generates revenues in a manner similar to OTC Link ECN. Fees earned are recognized as transaction-based revenues, while fees paid are recognized as transaction-based expenses. These fees are invoiced monthly, in arrears, and are due upon receipt. The Company recognizes transaction-based revenue earned upon the execution of a trade, when the Company's obligations are substantially met. Similarly, payments made to subscribers providing liquidity are recognized upon execution and are recorded as transaction-based expenses within the Consolidated Statements of Income.

Market Data Licensing

Market Data Licensing generates revenues by providing our subscribers with continuous access to the market data, compliance data, company data and security information collected through our OTC Link and Corporate Services business lines. Subscribers pay monthly fees to access this information priced at per enterprise or per subscriber rates. Market Data Licensing revenues are recognized ratably over the term of the contract period, beginning on the date on which the data is made available to the customer, as our continuing performance obligations are met.

The majority of Market Data Licensing revenues result from sales through redistributors, some of whom earn redistribution fees based on a contractual fixed rate. These fees are invoiced monthly based on the contractual period and are recognized as a reduction of gross revenues. The vast majority of our redistribution fees and rebates are related to these arrangements with market data redistributors.

Corporate Services

Corporate Services generates revenues from the OTCQX Best Market, OTCQB Venture Market and a suite of other services. Issuers pay annual or semi-annual subscription fees upfront to have their securities traded on the OTCQX or OTCQB markets and subscribe to our various other services. We recognize these revenues ratably over time based on the subscription period as the performance obligations are met and the transfer of services occurs. Issuers pay one-time non-refundable application fees. These fees are not related to distinct performance obligations and are recognized ratably over the contractual service period, which is one year or shorter. The Company also charges for the right to host webcast presentations and online events on our VIC platform. VIC presentation fees are recognized at the point in time when the services are rendered, which corresponds to the date of the webcast and the point in time that the performance obligation is satisfied.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

The following tables present our revenues disaggregated by timing of revenue recognition:

	Three Months Ended September 30,					
	2021			2020		
	Point in Time	Over Time	Total	Point in Time	Over Time	Total
OTC Link	\$ 5,067	\$ 1,043	\$ 6,110	\$ 2,865	\$ 951	\$ 3,816
Market data licensing	96	8,393	8,489	34	7,138	7,172
Corporate services	344	10,277	10,621	89	6,670	6,759
Gross revenues	5,507	19,713	25,220	2,988	14,759	17,747
Redistribution fees and rebates	(38)	(706)	(744)	(12)	(677)	(689)
Net revenues	5,469	19,007	24,476	2,976	14,082	17,058
Transaction-based expenses	(1,668)	-	(1,668)	(614)	-	(614)
Revenues less transaction-based expenses	\$ 3,801	\$ 19,007	\$ 22,808	\$ 2,362	\$ 14,082	\$ 16,444

	Nine Months Ended September 30,					
	2021			2020		
	Point in Time	Over Time	Total	Point in Time	Over Time	Total
OTC Link	\$ 21,075	\$ 2,998	\$ 24,073	\$ 7,925	\$ 2,870	\$ 10,795
Market data licensing	426	24,548	24,974	91	20,684	20,775
Corporate services	1,143	26,555	27,698	236	19,644	19,880
Gross revenues	22,644	54,101	76,745	8,252	43,198	51,450
Redistribution fees and rebates	(93)	(2,138)	(2,231)	(34)	(2,061)	(2,095)
Net revenues	22,551	51,963	74,514	8,218	41,137	49,355
Transaction-based expenses	(7,695)	-	(7,695)	(1,659)	-	(1,659)
Revenues less transaction-based expenses	\$ 14,856	\$ 51,963	\$ 66,819	\$ 6,559	\$ 41,137	\$ 47,696

The following tables present our revenues disaggregated by geography:

	Three Months Ended September 30,					
	2021			2020		
	U.S	International	Total	U.S	International	Total
OTC Link	\$ 6,110	\$ -	\$ 6,110	\$ 3,816	\$ -	\$ 3,816
Market data licensing	6,641	1,848	8,489	5,800	1,372	7,172
Corporate services	5,155	5,466	10,621	3,639	3,120	6,759
Gross revenues	17,906	7,314	25,220	13,255	4,492	17,747
Redistribution fees and rebates	(678)	(66)	(744)	(620)	(69)	(689)
Net revenues	17,228	7,248	24,476	12,635	4,423	17,058
Transaction-based expenses	(1,668)	-	(1,668)	(614)	-	(614)
Revenues less transaction-based expenses	\$ 15,560	\$ 7,248	\$ 22,808	\$ 12,021	\$ 4,423	\$ 16,444

	Nine Months Ended September 30,					
	2021			2020		
	U.S	International	Total	U.S	International	Total
OTC Link	\$ 24,073	\$ -	\$ 24,073	\$ 10,795	\$ -	\$ 10,795
Market data licensing	19,720	5,254	24,974	16,917	3,858	20,775
Corporate services	13,541	14,157	27,698	10,923	8,957	19,880
Gross revenues	57,334	19,411	76,745	38,635	12,815	51,450
Redistribution fees and rebates	(2,029)	(202)	(2,231)	(1,888)	(207)	(2,095)
Net revenues	55,305	19,209	74,514	36,747	12,608	49,355
Transaction-based expenses	(7,695)	-	(7,695)	(1,659)	-	(1,659)
Revenues less transaction-based expenses	\$ 47,610	\$ 19,209	\$ 66,819	\$ 35,088	\$ 12,608	\$ 47,696

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Accounts Receivable, net

As of September 30, 2021 and December 31, 2020, accounts receivable, net of allowance for credit losses were \$7,601 and \$6,609, respectively. The allowance for credit losses reflects our best estimate of probable losses inherent in the accounts receivable balance. The Company determines the allowance based on historical experience, the age of the accounts receivable balances, specific account information, and our estimates of current and future economic conditions that may affect our customers' ability to pay.

Deferred Revenue

Deferred revenue primarily represents our contractual performance obligations related to annual and semi-annual Corporate Services subscription fees, as well as monthly Market Data Licensing and OTC Link license subscription fees. The following table presents the changes in deferred revenue during the nine months ended September 30, 2021 and 2020:

	<u>Nine Months Ended September 30,</u>	
	<u>2021</u>	<u>2020</u>
Balance at beginning of period	\$ 18,765	\$ 15,815
Net changes	756	(4,893)
Balance at end of period	<u>19,521</u>	<u>10,922</u>

During the nine months ended September 30, 2021 and 2020, we recognized \$ 15,598 and \$ 13,481 of revenue, respectively, that was included in the deferred revenue balance at the beginning of each year.

Payment Terms

Our payment terms vary by business line and the products or services offered and range from due upon receipt to net 45 days. For certain products, we require payment before services are rendered.

Note 4. Concentrations and Uncertainties

During the three and nine months ended September 30, 2021, Market Data Licensing revenues earned through one market data redistributor amounted to approximately 8% of gross revenues, as compared to 10% during each of the comparable prior year periods. As of September 30, 2021 and 2020, accounts receivable from that same redistributor amounted to 21% and 25% of total accounts receivable, respectively.

Note 5. Fair Value of Financial Instruments

The Company accounts for certain financial instruments at fair value, in accordance with the provisions of the standard for fair value measurement, which utilizes a three-tier hierarchy to determine the fair value of financial assets and liabilities based on the quality of observable inputs and enhances disclosure requirements for fair value measurement. The three tiers are:

- Level 1 – Quoted prices (unadjusted) for identical assets or liabilities in an active market;
- Level 2 – Other inputs that are directly or indirectly observable in the market; and
- Level 3 – Unobservable inputs that are supported by little or no market activity.

The fair value of a financial instrument is the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date and in the principal or most advantageous market for that asset or liability.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Assets and liabilities on the unaudited interim Condensed Consolidated Balance Sheets that are measured at carrying value, which approximates fair value due to the short-term nature of these balances, include prepaid expenses, accrued expenses and other current liabilities and deferred revenue. These balances are classified as Level 1 and Level 2 in the fair value hierarchy.

Note 6. Property and Equipment

Property and equipment consisted of the following:

	September 30, 2021	December 31, 2020	Estimated useful life (years)
Computer software	\$ 2,773	\$ 2,704	2 - 3
Computer equipment	6,167	5,092	3 - 5
Furniture and fixtures	691	691	5 - 7
Leasehold improvements	2,804	2,804	Term of lease
Total property and equipment	12,435	11,291	
Accumulated depreciation and amortization	(7,227)	(5,924)	
Total property and equipment, net	\$ 5,208	\$ 5,367	

Depreciation and amortization on property and equipment included in the unaudited interim Condensed Consolidated Statements of Income amounted to \$446 and \$1,330 for the three and nine months ended September 30, 2021, respectively, and \$441 and \$1,270 during the comparable three and nine months in 2020, respectively.

Computer software includes approximately \$0 and \$34 in unamortized website development costs, as of September 30, 2021 and December 31, 2020, respectively.

Note 7. Leases

The Company has two non-cancelable operating leases. One is for office space at 300 Vesey Street, New York, NY that was executed in October 2018 and expires on December 30, 2031. The other is for office space at 100 M Street SE, Washington, D.C. that was amended in April 2021 and expires on January 31, 2028. These operating leases are recorded as operating lease right-of-use assets on the Company's unaudited interim Condensed Consolidated Balance Sheet as of September 30, 2021, and represent the Company's right to use the underlying asset during the lease term. The Company's obligation in respect of future payments due under the leases is included in accrued expenses and other current liabilities and in the operating lease liabilities section on the Company's unaudited interim Condensed Consolidated Balance Sheet as of September 30, 2021.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

The components of lease expense were as follows:

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2021	2020	2021	2020
Operating Lease cost	\$ 499	\$ 497	\$ 1,496	\$ 1,491
Short-term Lease cost	4	4	14	13
Total lease cost	<u>\$ 503</u>	<u>\$ 501</u>	<u>\$ 1,510</u>	<u>\$ 1,504</u>

Supplemental cash flow information related to leases was as follows:

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2021	2020	2021	2020
Cash Paid for operating lease liabilities	\$ 440	\$ 498	\$ 1,435	\$ 1,490
Right-of-use assets obtained in exchange for operating lease obligations	-	-	-	-

Supplemental balance sheet information related to leases was as follows:

	September 30, 2021	December 31, 2020
Operating lease right-of use assets	\$ 15,194	\$ 14,844
Other current liabilities	1,856	1,829
Operating lease liabilities	<u>14,849</u>	<u>14,466</u>
Total operating lease liabilities	<u>16,705</u>	<u>16,295</u>
Weighted-average remaining lease term	10 Years	11 Years
Weighted-average discount rate	4.7%	4.8%

Maturities of lease liabilities were as follows:

Remainder of 2021	\$ 440
2022	1,959
2023	1,982
2024	2,104
2025	2,160
Thereafter	12,504
Total lease payments	<u>21,149</u>
Less imputed interest	<u>(4,444)</u>
Total	<u>\$ 16,705</u>

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Note 8. Goodwill and Intangible Assets

Goodwill and intangible assets consisted of the following:

	September 30, 2021	December 31, 2020	Estimated useful life (years)
Goodwill	\$ 251	\$ 251	Indefinite
Intangible assets:			
Website	\$ 100	\$ 100	2
Subscription services	150	150	8-15
Distributor relations	27	27	15
Intellectual property	40	40	Indefinite
Total intangible assets	317	317	
Accumulated amortization	(277)	(277)	
Intangible assets, net	\$ 40	\$ 40	

No amortization of finite-lived intangible assets was recognized for the three and nine months ended September 30, 2021 and 2020 as the assets were fully amortized. No impairment charges were recorded to goodwill or intangible assets during the three and nine months ended September 30, 2021 or 2020.

Note 9. Accrued Expenses and Other Current Liabilities

Accrued expenses and other current liabilities consisted of the following:

	September 30, 2021	December 31, 2020
Payroll and employee withholdings	\$ 7,689	\$ 6,740
Accrued operating expenses	1,247	1,397
Current operating lease liabilities	1,856	1,828
Total accrued expenses and other current liabilities	\$ 10,792	\$ 9,965

Payroll and employee withholdings primarily consisted of accrued discretionary bonus, discretionary employer 401(k) contribution, vacation and sales commissions. The balance of payroll and employee withholdings as of December 31, 2020 represents a full year of accrual, which was paid out in February 2021.

Note 10. Stock-Based Compensation

OTC Markets Group grants stock options to employees and restricted stock awards ("RSAs") to employees and directors. The grant date fair value of each stock option is estimated using the Black-Scholes option pricing model and is then amortized into compensation expense on a straight-line basis over the requisite service period, which is generally the vesting period. The grant date fair value of each RSA is based on the closing stock price on the day prior to the grant date. These charges are included in compensation and benefits expense and, in respect of compensation for our Board of Directors, professional and consulting fees on the unaudited interim Condensed Consolidated Statements of Income.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

A summary of the Company's option activity for the nine months ended September 30, 2021 is as follows:

(in thousands, except W/A exercise price)	Stock options	Weighted-average exercise price	Aggregate intrinsic value	Remaining contractual term (years)
Outstanding, January 1, 2021	569	\$ 25.06	\$ 5,164	6.82
Granted	146	41.13	98	
Exercised	(63)	21.59	1,149	
Forfeited	(42)	30.85	517	
Outstanding, September 30, 2021	610	\$ 28.88	\$ 12,288	6.89
Exercisable, September 30, 2021	268	\$ 21.34	\$ 7,413	5.03

The Company recognized compensation expense related to stock options, net of estimated forfeitures, of \$151 and \$147 for the three months ended September 30, 2021 and 2020, respectively, and \$453 and \$468 for the nine months ended September 30, 2021 and 2020, respectively. Management has estimated forfeiture rates of 5% for stock options granted to management and 23% for stock options granted to other employees. Such charges are included in compensation and benefits expenses on the unaudited interim Condensed Consolidated Statements of Income.

As of September 30, 2021, unrecognized compensation cost related to non-vested stock options was \$1,846, which will be recognized over approximately 3.7 years.

A summary of the Company's restricted stock activity for the nine months ended September 30, 2021 is as follows:

(in thousands, except W/A fair value)	Restricted stock	Weighted-average fair value	Aggregate intrinsic value
Outstanding, January 1, 2021	279	\$ 28.55	\$ 9,475
Granted	110	34.33	3,769
Vested	(96)	25.80	3,292
Forfeited	(17)	29.83	570
Outstanding, September 30, 2021	276	\$ 31.73	\$ 13,518

The Company recognized compensation expense related to restricted stock awards, net of estimated forfeitures, of \$587 and \$532 for the three months ended September 30, 2021 and 2020, respectively, and \$1,976 and \$1,764 for the nine months ended September 30, 2021 and 2020, respectively. Management has estimated forfeiture rates of 9% for RSAs granted to management and 15% for RSAs granted to other employees. In addition, the Company recognized professional fees of \$44 and \$38 for the three months ended September 30, 2021 and 2020, respectively, and \$119 and \$113 for of the nine months ended September 30, 2021 and 2020, respectively, related to the issuance of RSAs to the Board of Directors.

As of September 30, 2021, unrecognized compensation cost related to non-vested RSAs totaled \$6,299, which will be recognized over approximately 3.3 years.

Note 11. Contingencies

Legal Matters

There are no current, past, pending or threatened legal proceedings or administrative actions either by or against OTC Markets Group that could have a material effect on its business, financial condition or operations. OTC Markets Group is not a party to any past or pending trading suspensions by a securities regulator.

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Note 12. Stockholders' Equity

Common Stock

The Company has one class of shares, Class A Common Stock, outstanding. Holders of Class A Common Stock, which include holders of unvested RSAs, are entitled to receive such dividends and other distributions in cash, stock of any corporation or property of the Company as may be authorized and declared by the Board of Directors from time to time out of the assets or funds of the Company legally available for the payment of dividends. Upon the voluntary or involuntary liquidation, dissolution or winding up of the Company, holders of Class A Common Stock are entitled to a pro rata share of the net assets of the Company available for distribution in proportion to the number of shares of Class A Common Stock held by each.

The Company is authorized to issue 14,000,000 shares of common stock at \$0.01 par value. As of September 30, 2021 there were a total of 12,456,835 shares issued and 11,775,468 shares outstanding. As of December 31, 2020 there were a total of 12,346,491 shares issued and 11,709,857 shares outstanding.

Treasury Stock

In August 2011, the Board of Directors authorized the Company to repurchase up to 300,000 shares of Class A Common Stock in compliance with Rule 10b-18 under the Securities Exchange Act of 1934 (the "Exchange Act"). On March 12, 2021, the Board of Directors refreshed the Company's stock repurchase program, authorizing the repurchase of up to 300,000 shares of Class A Common Stock.

During the nine months ended September 30, 2021, the Company repurchased 44,733 shares of Class A Common Stock at an average price of \$34.01 per share for a total of \$1,522. During the same prior year period, the Company repurchased 102,938 shares of Class A Common Stock at an average price of \$34.20 per share for a total of \$3,520. All repurchased shares are held in treasury. As of September 30, 2021, there are 300,000 shares remaining to be purchased under the stock repurchase program.

Dividends

The Company declared a cash dividend of \$0.18 per Class A share during the three months ended September 30, 2021, compared to \$0.15 per Class A share during the same prior year period, totaling \$2,120 and \$1,750, respectively. The Company declared cash dividends of \$0.48 per Class A share during the nine months ended September 30, 2021 and \$0.45 per Class A share during the comparable prior year period, totaling \$5,651 and \$5,247, respectively.

Equity Incentive Plan

The Company's Equity Incentive Plan (the "Plan"), as adopted by the Board of Directors on May 7, 2019 and approved by a vote of the Company's stockholders on December 19, 2019, provides for the grant of incentive stock options, non-statutory stock options, restricted stock, restricted stock units, stock appreciation rights, performance units and performance shares, and governs options awarded (refer to Note 10, *Stock-Based Compensation*). In November 2021 and 2020, the Board of Directors authorized an increase in the number of shares available for issuance under the Plan by 190,000 and 200,000 shares, respectively.

Note 13. Income Taxes

The Company's effective tax rate was 22.5% and 18.1% for the three months ended September 30, 2021 and 2020, respectively, and 21.4% and 14.9% for the nine months ended September 30, 2021 and 2020, respectively. The rates reflect the inclusion of state and local income taxes at the federal statutory rate of 21%. The effective tax rate differs from the federal statutory rate primarily due to the recognition of the

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

U.S. federal research and development credit, the impact of the Foreign-Derived Intangible Income deduction available pursuant to provisions of the Tax Cuts and Jobs Act, and the impact of excess tax benefits from share-based compensation. During the first nine months of 2021 and 2020, we recognized an income tax benefit related to the excess tax benefits on stock based compensation of \$400 and \$391, respectively.

As required by the uncertain tax position guidance in FASB Accounting Standards Codification Topic 740, the Company recognizes the financial statement benefit of a tax position only after determining that the relevant tax authority would more likely than not sustain the position following an audit. For tax positions meeting the more-likely-than-not threshold, the amount recognized in the financial statements is the largest benefit that has a greater than 50 percent likelihood of being realized upon settlement with the relevant tax authority. The gross amount of unrecognized tax benefits as of September 30, 2021 and December 31, 2020 was \$705 and \$601, respectively, and was classified in income tax reserve in the unaudited interim Condensed Consolidated Balance Sheets. It is not reasonably possible that any unrecognized tax benefits will reverse within the next twelve months from settlements with taxing authorities.

The Company recognizes interest and penalties related to unrecognized tax benefits as a component of tax expense. For the three and nine months ended September 30, 2021, the Company recognized interest and penalties of \$7 and \$32, respectively. For the three and nine months ended September 30, 2020, the Company recorded a reduction of interest and penalties of \$4 and \$201, respectively. Interest and penalties accrued as of September 30, 2021 and December 31, 2020 were \$232 and \$200, respectively.

Note 14. Earnings Per Share

The Company calculates earnings per share pursuant to the two-class method, which is an earnings allocation formula that determines earnings per share for common stock and participating securities according to dividends declared and participation rights in undistributed earnings. Under this method, all earnings (distributed and undistributed) are allocated to common shares and participating securities based on their respective rights to receive dividends. RSAs granted to employees and directors (refer to Note 10, *Stock-Based Compensation*) participate in dividends on the same basis as common shares and such dividends are nonforfeitable by the holder. As a result, these RSAs meet the definition of a participating security.

The tables below present the calculations of earnings per share under the two-class method:

Basic Earnings per common share

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2021	2020	2021	2020
(in thousands, except shares and per share data)				
Net income available to common shareholders	\$ 7,512	\$ 4,459	\$ 21,422	\$ 12,550
Less: Undistributed earnings allocated to unvested RSAs	(126)	(65)	(369)	(175)
Less: Dividend equivalents on unvested RSAs	(50)	(42)	(132)	(126)
Net income allocated to common shareholders	<u>\$ 7,336</u>	<u>\$ 4,352</u>	<u>\$ 20,921</u>	<u>\$ 12,249</u>
Shares of common stock and common stock equivalents				
Weighted-average common shares outstanding	<u>11,501,186</u>	<u>11,390,479</u>	<u>11,501,951</u>	<u>11,397,415</u>
Basic earnings per share	\$ 0.64	\$ 0.38	\$ 1.82	\$ 1.07

OTC MARKETS GROUP INC.

Notes to Unaudited Condensed Consolidated Financial Statements (continued)

(in thousands, except share and per share information)

Diluted Earnings per common share

	Three Months Ended September 30,		Nine Months Ended September 30,	
(in thousands, except shares and per share data)	2021	2020	2021	2020
Net income available to common shareholders	\$ 7,512	\$ 4,459	\$ 21,422	\$ 12,550
Less: Undistributed earnings allocated to unvested RSAs	(123)	(64)	(361)	(172)
Less: Dividend equivalents on unvested RSAs	(50)	(42)	(132)	(126)
Net income allocated to common shareholders	<u>\$ 7,339</u>	<u>\$ 4,353</u>	<u>\$ 20,929</u>	<u>\$ 12,252</u>
Shares of common stock and common stock equivalents				
Weighted-average common shares outstanding	11,501,186	11,390,479	11,501,951	11,397,415
Dilutive effect of employee stock options and RSAs	311,724	229,673	260,742	226,523
Weighted-average shares used in diluted computation	<u>11,812,910</u>	<u>11,620,153</u>	<u>11,762,693</u>	<u>11,623,938</u>
Diluted earnings per share	\$ 0.62	\$ 0.37	\$ 1.78	\$ 1.05

Note 15. Regulatory Authorities

OTC Link LLC is a U.S. registered broker-dealer and is subject to the net capital requirements of Rule 15c3-1 under the Exchange Act. Rule 15c3-1 requires the maintenance of net capital, as defined, which shall be the greater of \$5 or 6-2/3% of aggregate indebtedness, as defined. OTC Link LLC's regulatory net capital as of September 30, 2021 and December 31, 2020 was \$4,641 and \$2,871, respectively, which exceeded the minimum net capital requirement by \$4,434 and \$2,659, respectively.

Note 16. Subsequent Events

For purposes of disclosure in the unaudited interim condensed consolidated financial statements, the Company has evaluated subsequent events through November 10, 2021, the date the financial statements were available to be issued.

On November 5, 2021, the Board of Directors authorized and approved a special cash dividend of \$1.50 per share of Class A Common Stock and a quarterly cash dividend of \$0.18 per share of Class A Common Stock. The special dividend is payable on December 9, 2021 to stockholders of record on November 24, 2021. The ex-dividend date is November 23, 2021. The quarterly dividend is payable on December 23, 2021 to our stockholders of record as of December 9, 2021. The ex-dividend date is December 8, 2021.

EXHIBIT 9.1

CERTIFICATION OF PRINCIPAL EXECUTIVE OFFICER

I, R. Cromwell Coulson, Chief Executive Officer of OTC Markets Group Inc., certify that:

1. I have reviewed this Quarterly Report of OTC Markets Group Inc.;
2. Based on my knowledge, this Quarterly Report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this Quarterly Report; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this Quarterly Report, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this Quarterly Report.

/s/ R. Cromwell Coulson

R. Cromwell Coulson
Chief Executive Officer

November 10, 2021

Date

EXHIBIT 9.2

CERTIFICATION OF PRINCIPAL FINANCIAL OFFICER

I, Antonia Georgieva, Chief Financial Officer of OTC Markets Group Inc., certify that:

1. I have reviewed this Quarterly Report of OTC Markets Group Inc.;
2. Based on my knowledge, this Quarterly Report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this Quarterly Report; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this Quarterly Report, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this Quarterly Report.

/s/ Antonia Georgieva

Antonia Georgieva
Chief Financial Officer

November 10, 2021

Date